

Four ways to play 170 Michaela Drive — and the one that survives the math

Every strategy underwritten with the same sourced inputs: mid-2026 financing, non-homestead taxes, real closed comps, and **no assumed rate cuts**.

THE VERDICT

Offer **\$1,750,000**. Walk away above
~\$1,800,000.

Primary: **Strategy A** (staged resale). Built-in fallback at month 4: **Strategy B** (executive carry). At the \$2.15M ask, no strategy clears a professional hurdle — **the correct move at that price is to pass**.

From entry to exit, every dollar has a plan

STAGE 1 · ACQUISITION

Private bridge loan

65% LTC at ~9.5% interest-only + 2 pts, 12-month term. Atlanta market: 9.5–10.2%. Close in 21 days — speed is the negotiating currency.

STAGE 2 · OPERATION

Carry management

Taxes ~\$20K/yr (lagged assessment), insurance ~\$12K, utilities \$750/mo. Strategy B adds an \$8,500/mo executive lease offsetting ~70% of carry.

STAGE 3 · DISPOSITION

Retail sale — primary

Relist at ~\$2.2M (\$430/sq ft) where the submarket clears in 1–2.5 months. Exit buyer finances at 6.6% jumbo — a seven-week low.

STAGE 3-ALT · REFINANCE

Tested — and rejected

75% cash-out at 7.75% needs ~\$119K/yr debt service vs ~\$41K furnished NOI → 0.34 DSCR. The honest Plan B is a cut to the \$2.0–2.05M floor.

\$1,137,500

Bridge loan at the \$1.75M basis (65% LTC)

≈ \$790K

Total equity incl. carry reserve & working capital

\$375/sq ft

All-in basis vs \$420–470 comp band

Staged resale sprint

HOLD 6-10 MO · BRIDGE 65% LTC · \$25K STAGING · EQUITY ≈ \$780-810K

Buy the discount, fix the marketing. The house doesn't need work — it needs a price inside the comp band, professional staging, and a broker who isn't the builder. List at ~\$2.2M (\$430/sq ft), directly on the **477 Michael Dr** precedent that cleared at \$422/sq ft in 55 days, one street over.

Shorter hold means less carry — that's why A beats B when the market cooperates.

SCENARIO · BUY \$1.75M	EXIT	HOLD	PROFIT	ANNUALIZED
Bear — comp floor	\$2,050,000	10 mo	-\$32,000	-4.7%
Base — mid band	\$2,200,000	8 mo	+\$135,000	+25.9%
Bull — spring premium	\$2,350,000	6 mo	+\$302,000	+79.7%

+25.9%

Base annualized, deal level

8 mo

Base-case capital turnaround

Furnished executive carry → spring 2027 exit

HOLD 10-14 MO · BRIDGE 65% LTC · \$50K FURNISHING · LEASE ≈ \$8,500/MO

If the sprint doesn't produce a contract by month four, place a furnished executive tenant — relocation demand from Alpharetta's 2025-26 HQ moves; **575+ corporate units** already absorb here — and relaunch into the **March-May 2027** selling season.

Rent offsets ~70% of carry; the furniture doubles as staging. **B trades a lower ceiling for a higher floor** — the lease cuts the bear-case loss by a third and reaches the strongest listing season.

SCENARIO · BUY \$1.75M	EXIT	HOLD	PROFIT	ANNUALIZED
Bear — comp floor	\$2,050,000	14 mo	-\$20,000	-2.2%
Base — mid band	\$2,200,000	12 mo	+\$131,000	+16.6%
Bull — spring premium	\$2,350,000	10 mo	+\$282,000	+43.5%

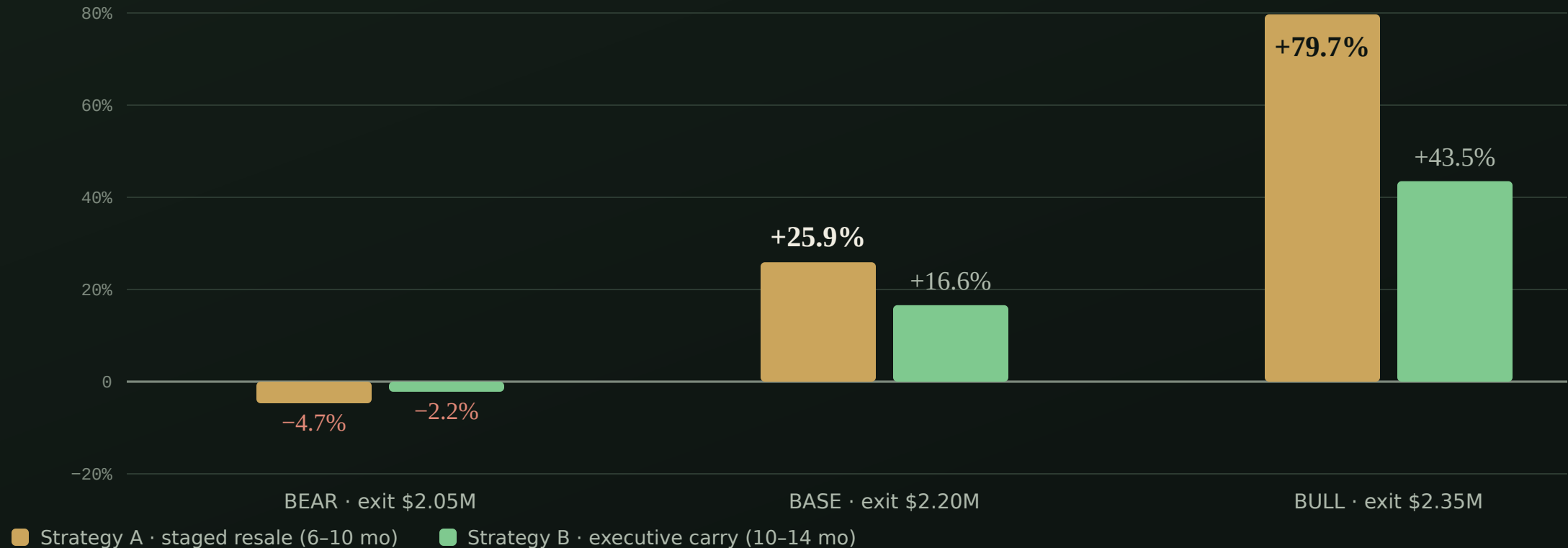
~70%

Of carry covered by the lease

-\$20K

Bear loss — vs -\$32K unleased

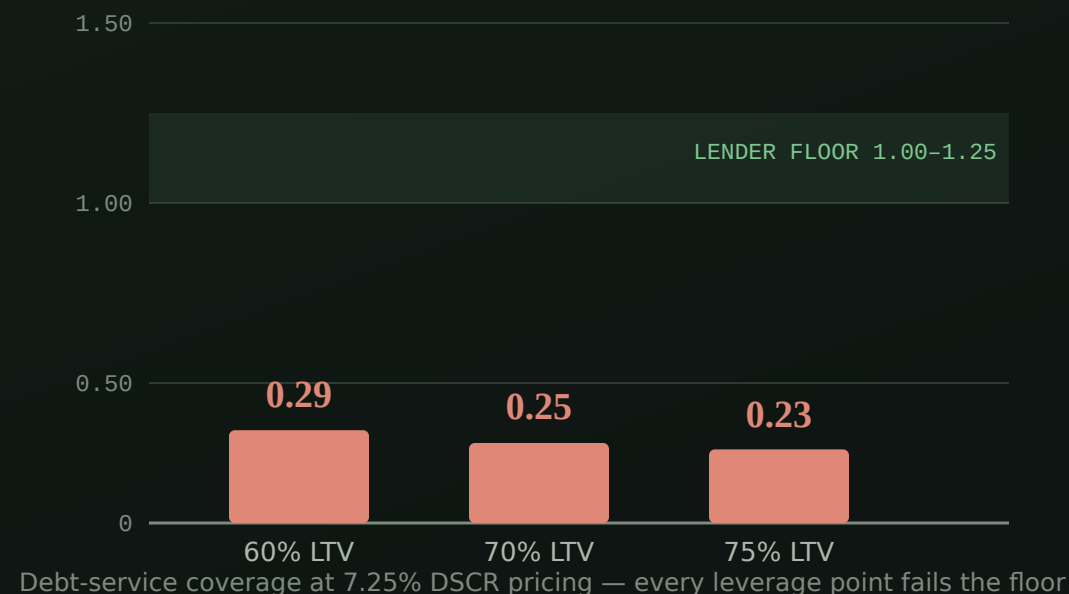
Annualized return by scenario — A vs. B at the \$1.75M basis



Buy, hold, refinance as a rental — the math says no

Tested at the \$2.15M ask with mid-2026 DSCR terms. Market rent ~\$6,500/mo produces roughly **\$27K of NOI** after non-homestead taxes (\$27K), insurance (\$12K), management, and reserves — a **1.24% cap rate**. No coverage-based lender funds this. The refinance contingency fails the same test at **0.34 furnished**.

This asset's value is a sale to an owner-occupant who prices schools and walkability — not an income stream. Rejecting this openly protects investor capital from a *"we'll just rent it out"* fallback that doesn't exist.



Creative structures: trade our price for their terms

The builder is likely paying 9–13% on construction debt. If they refuse \$1.75M cash, offer terms that solve *their* carry problem while capping our basis — for almost no capital.

Lease-option

- 24-month option at a **\$1.85M strike**
- ~\$8,500/mo lease · **\$1,500/mo credited** to purchase
- Control the asset for **~\$25K option money** instead of ~\$800K of equity
- Exercise only if the spring market confirms the exit

Seller carry

- **\$1.90M price** — builder holds a 75% note
- **5-6% interest-only, 18 months** — below our 9.5% bridge cost
- The above-market price is financed below market — roughly offsetting itself
- Builder converts dead carry into interest income

Presented as negotiation instruments, not the plan of record — returns depend on final terms and are bounded by the same comp band as Strategies A and B.

PRICE DISCIPLINE

The whole deal is the purchase price

STRATEGY A · ANNUALIZED	BEAR \$2.05M	BASE \$2.20M	BULL \$2.35M
Buy \$1,750,000 — offer	−4.7%	+25.9%	+79.7%
Buy \$1,825,000 — walk-away zone	−16.1%	+10.2%	+56.5%
Buy \$1,950,000	−33.2%	−13.6%	+21.6%
STRATEGY B · ANNUALIZED	BEAR \$2.05M	BASE \$2.20M	BULL \$2.35M
Buy \$1,750,000 — offer	−2.2%	+16.6%	+43.5%
Buy \$1,825,000 — walk-away zone	−10.6%	+6.0%	+29.8%
Buy \$1,950,000	−23.2%	−9.9%	+9.2%

\$1.74M

Maximum allowable offer at an 18% hurdle

\$1.76M

Maximum allowable offer at a 15% hurdle

Above ~\$1.80M the base case goes single-digit and the bear case turns seriously negative — the deal stops being professional.

What can go wrong — and what we've done about it

RISK	MITIGANT
Exit below the comp band	Bear case fully modeled at the \$2.05M floor; all-in basis ~\$375/sq ft sits 11–20% below every 2024–25 new-construction print
Extended days on market	Dual-track converts to leased carry at month 4; lease covers ~70% of carry indefinitely
Rate rise — hawkish Fed dot plot	No cuts underwritten; fixed-rate bridge; exit buyer modeled at today's 6.6% jumbo
Tax reassessment to ~\$27K/yr	Assessment lags a sale by ~a season; ±\$7K on a 12-month hold — immaterial to the decision
Single-asset concentration & illiquidity	Disclosed plainly; capital committed 6–14 months; GP co-invest takes first loss
Subject condition / status unverified	Offer contingent on inspection, appraisal, clear title, and FMLS verification of listing status and price

Decision rules we commit to in writing

1. Offer **\$1,750,000** · hard ceiling **\$1,800,000** — no exceptions
2. List at **\$430/sq ft (~\$2.2M)** within 30 days of closing
3. No contract by **month 4** → executive tenant, relaunch spring 2027
4. Never hold past **month 14** — cut to the comp floor and clear
5. Refinance is not an exit — **0.34 DSCR**, tested and rejected

Full model: underwriting.xlsx / underwriting_model.py in the deal package. Figures are estimates for discussion, not guarantees. Not an offer of securities.